

USA Sector-Neutral Value Select Index.

1. INTRODUCTION.

The USA Sector-Neutral Value Select Index is a rules-based equity index designed to provide exposure to U.S. companies with strong value characteristics while employing a sector-neutral value signal. The index uses a sector-relative framework in which value scores are standardized within each sector to remove structural sector-level valuation effects. While the value signal is sector-neutral by construction, final sector weights may deviate from those of the Parent Index as a result of security selection and weighting.

The index is independently constructed and rebalanced on a semi-annual basis using publicly available financial data. The methodology is inspired by established factor-index construction principles commonly used in the investment industry, while applying proprietary selection, weighting, and rebalancing rules.

2. INDEX CONSTRUCTION METHODOLOGY.

a. Applicable Universe:

The “Parent Index” is the S&P Composite 1500, that covers around 90% of US market capitalization. The eligible universe consists of all constituents of the Parent Index, excluding securities classified in the Financials and Real Estate sectors according to the GICS sector classification.

b. Determination of Value Score:

The value score of each security is calculated by combining standardized value signals derived from four valuation descriptors: Price-to-Earnings (P/E), Enterprise Value-to-Operating Cash Flow (EV/CFO), Price-to-Book Value (P/B) and Price-to-Sales (P/S).

i. Calculation of Individual Variable Z-Scores.

For each valuation descriptor, a cross-sectional z-score is computed using the mean and standard deviation of the inverse of the corresponding variable across the eligible universe at each rebalancing date. The inverse measures used are:

- Earnings Yield: $\frac{E}{P}$
- Operating Cash Flow to Enterprise Value: $\frac{CFO}{EV}$
- Book Value to Price: $\frac{B}{P}$
- Sales to Price: $\frac{S}{P}$

Higher values of the inverse variables correspond to lower valuation multiples and therefore indicate stronger value characteristics.

ii. Sector Relative Value Z-Scores.

After computing individual z-scores for each variable, a composite value z-score is computed for each security as the equally weighted average of its available variable z-scores.

A sector relative score is then derived by standardizing the composite value z-score within each eligible GICS sector. Sector relative value z-scores are winsorized by capping values below the 1st percentile and above the 99th percentile.

iii. Final Value Score

The Final Value Score (FVS) is computed from the sector relative z-score as follows:

- If sector-z > 0, FVS = 1 + sector-z
- If sector-z = 0, FVS = 1
- If sector-z < 0, FVS = (1 – sector-z)⁻¹

In plain English, the final value score is calculated as one plus the sector-relative score for securities with a sector-relative score greater than zero, and as the inverse of one minus the sector-relative score for securities with a sector-relative score below zero. For securities with sector-relative score equal to 0, the final value score is 1.

c. Security Selection:

All eligible securities are ranked based on their Final Value Scores. Securities with Final Value Scores at or above the 70th percentile of the eligible universe are selected for index inclusion.

d. Weighting Scheme:

Selected securities are weighed by their free-float market capitalization adjusted by the Final Value Score. The weight of each security is proportional to the product of its free-float market capitalization and its Final Value Score.

Let $FFMC_i$ denote the free-float market capitalization of security “i” and let $FVSi$ denote its Final Value Score. The preliminary weight of each selected security is calculated as:

- $W_i = FFMC_i * FVSi$

Final index weights are obtained by normalizing the preliminary weights so that the sum of all constituent weights equal 100%.

3. INDEX MAINTENANCE.

a. Rebalancing and Reconstitution.

The Index is rebalanced on a semi-annual basis at the beginning of the second and fourth calendar quarters. At each rebalancing date, index constituents are re-evaluated and index weights are recalculated using the most recent data available as of the rebalancing date.

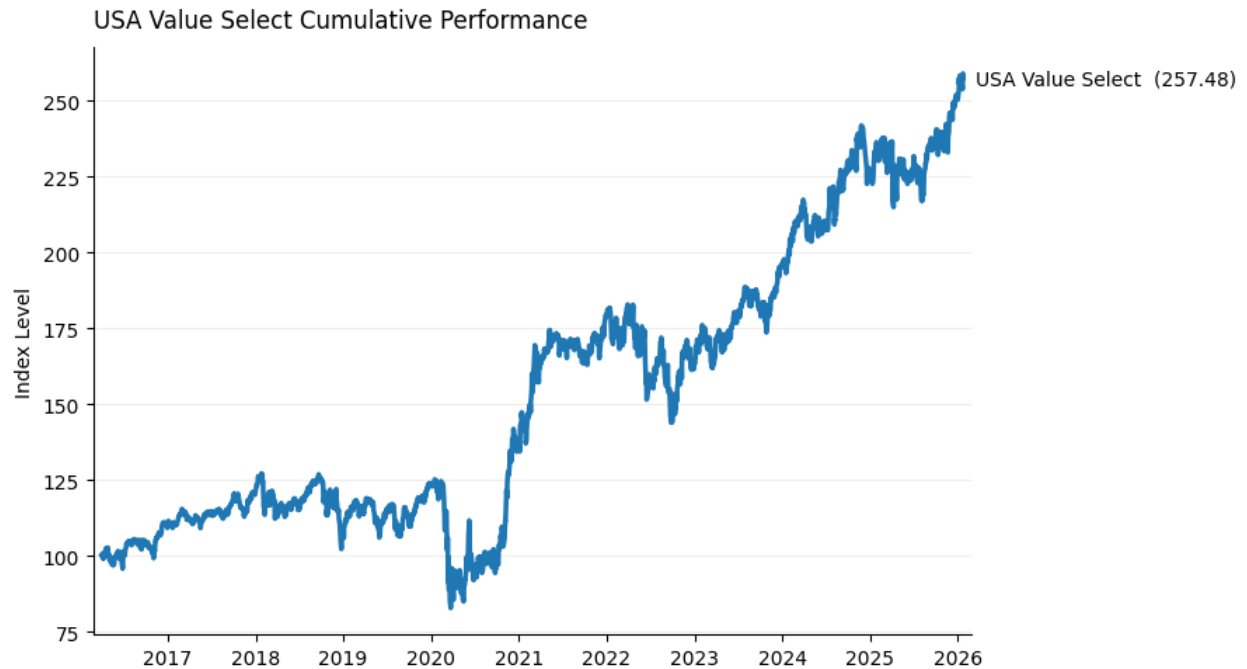
APPENDIX I: CUMULATIVE PERFORMANCE.

Year	1Y	3Y	5Y	10Y
Annualized Return	11.07%	14.96%	12.61%	9.92%

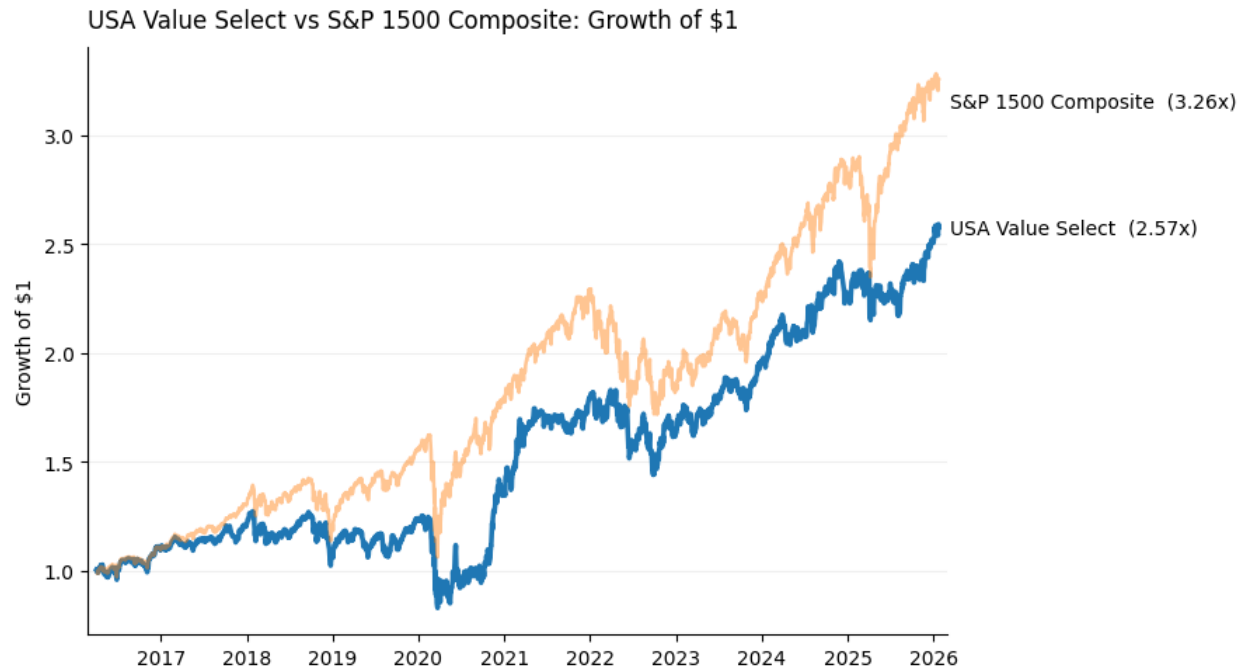
APPENDIX II: CALENDAR YEAR PERFORMANCE.

Year	Return	Standard Deviation	Return-to-Volatility
2017	8.6%	8.15%	1.05
2018	-10.58%	16.71%	-0.63
2019	13.48%	13.97%	0.96
2020	10.76%	40.06%	0.27
2021	33.24%	17.59%	1.89
2022	-8.97%	21.33%	-0.42
2023	19.51%	12.6%	1.55
2024	14.36%	11.78%	1.22
2025	11.72%	15.81%	0.74

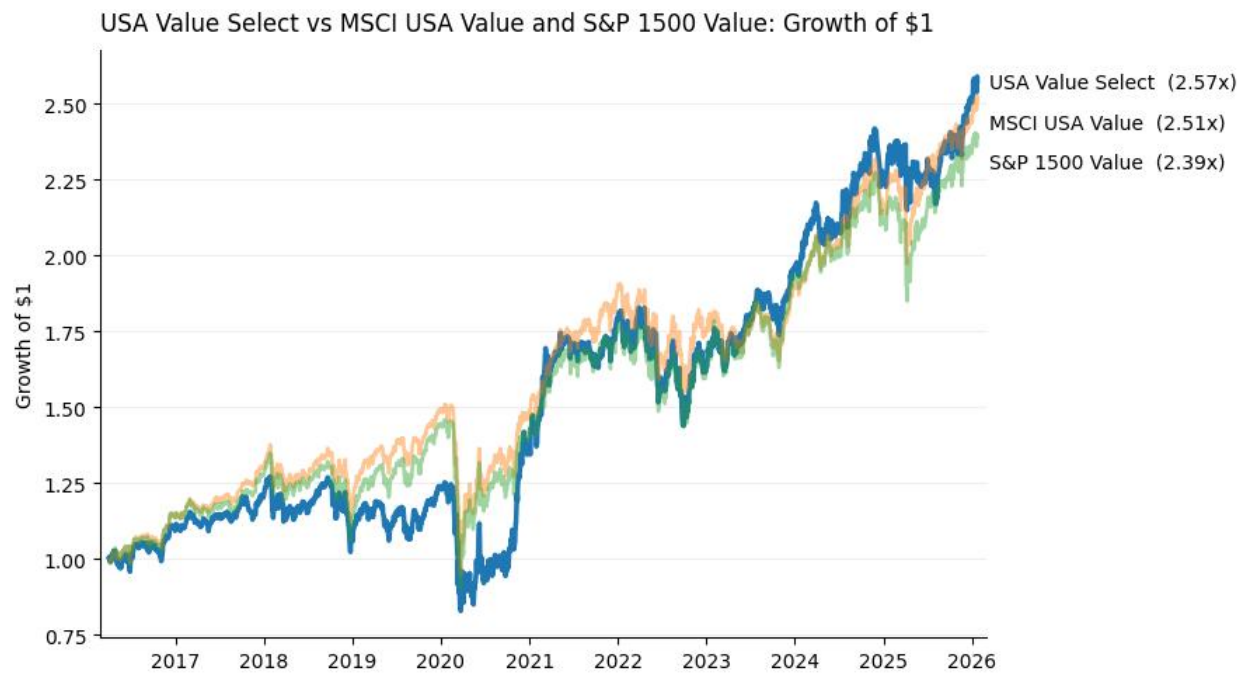
APPENDIX III: BACKTEST OF THE INDEX (2016-2026).



APPENDIX IV: BACKTEST OF THE INDEX AGAINST “PARENT INDEX”.



APPENDIX V: BACKTEST OF THE INDEX AGAINST DIFFERENT VALUE INDEXES.



APENDIX VI: CURRENT SECTOR WEIGHTS

